Pips

If you're new to forex trading, one of the first concepts you'll need to understand is pips. Pips are a unit of measurement used to describe the smallest price change that a currency pair can make. The term "pip" stands for "percentage in point" or "price interest point." and they are a fundamental concept of foreign exchange.

For most currency pairs, a pip is equal to 0.0001. This means that if the EUR/USD currency pair moves from 1.2000 to 1.2001, it has moved one pip. Similarly, if the USD/JPY currency pair moves from 108.50 to 108.51, it has also moved one pip.

1 pip is 1/100th of 1% and denotes a percentage change in the exchange rate. In Non-Yen related currency pairs, 1 pip is quoted to the 4th decimal place, where 1 pip is 0.0001 (1/100th of 1%). In Yen related currency pairs, 1 pip is quote to the 2nd decimal place, where 1 pip is 0.01 (1/10th of 10%) and it's due to the very small value of a single Yen. So all currency pairs with exception to the Yen (2nd decimal place) are quoted to the fourth (4th) decimal place.

It's important to note that the pip value of a currency pair can vary depending on the size of the trade. For example, if you're trading a mini-lot of 10,000 units of a currency pair, each pip will be worth $1. If you're trading a standard lot of 100,000 units, each pip will be worth $10.

Understanding the value of pips is essential for calculating profits and losses in forex trading. When you open a trade, the profit or loss is measured in pips. For example, if you buy the EUR/USD currency pair at 1.2000 and sell it at 1.2010, you've made a profit of 10 pips. If you're trading a mini-lot of 10,000 units, each pip is worth $1, so your profit would be $10.

Calculating pips can be confusing at first, but it's an essential part of forex trading. Fortunately, most trading platforms will automatically calculate the pip value for you, so you don't need to do it manually.

It's also important to understand the spread when trading forex. The spread is the difference between the bid price and the ask price of a currency pair. The spread is usually measured in pips, and it represents the cost of trading. For example, if the bid price for the EUR/USD currency pair is 1.2000 and the ask price is 1.2005, the spread is 5 pips.

In conclusion, understanding pips is essential for success in forex trading. Pips are a unit of measurement used to describe the smallest price change that a currency pair can make, and they're used to calculate profits and losses in trades. Make sure you understand how pips work and how they're calculated before you start trading.